

INTERNATIONAL RELATIONS

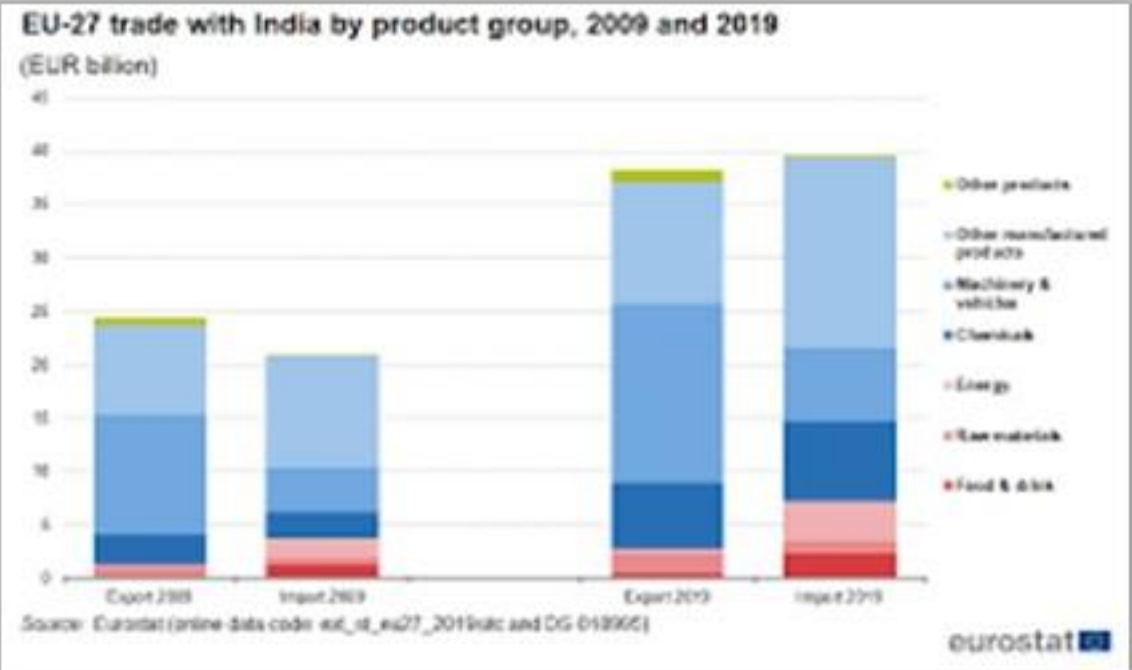
INDIA – EU – 03

MODULE – 50

ECONOMIC

BILATERAL TRADE

- 1 The EU is India's largest regional trading partner while India was EU's 9th largest trading partner in 2017.
- 2 India's bilateral trade in goods for the period Jan-Oct 2018 with the EU stood at €76.3billion with India's exports valued at €38.9billion and imports at €37.4.
- 3 The 9th meeting of the India-EU Joint Working Group on Agriculture and Marine products was held on 14 November 2017 in New Delhi and discussed bilateral issues related to trade in agricultural and marine products.



ECONOMIC

INVESTMENTS

- 1 The EU continued to be one of the largest source of Foreign Direct Investment (FDI) for India. In order to diversify and boost our bilateral trade, India and the EU are negotiating a bilateral Broad-based Trade and Investment Agreement (BTIA) since 2007
- 2 In order to promote and facilitate investment flow from the EU, an Investment Facilitation Mechanism has been established in July 2017 for close coordination.
- 3 The European Investment Bank (EIB) has agreed to extend loans of Euro 450 million for the Lucknow Metro Project and Euro 500 million for the Bangalore Metro Phase II Project.



ECONOMIC

INVESTMENTS

- 4 To promote business and research cooperation in the key sectors of energy, environment, biotechnology and transport, the EU has supported the creation of the European Business and Technology Centre (EBTC) with branches in Delhi, Kolkata, Mumbai and Bangalore.
- 5 The corporate networks of the European Chambers of Commerce with technical expertise in these four sectors, increases business and scientific and technical cooperation partnerships between European and Indian companies and enhances India's access to European technology.



ENERGY

- During the 1990s the EU helped to establish the Energy Management Centre and the EU Energy Bus program in India
- The 2012 India-EU Summit adopted a Joint Declaration on Enhanced Cooperation on Energy to focus on key energy areas, on the basis of common interest and mutual benefit. These are:

- 1 Strategies for clean energy production, especially clean coal technologies and advanced coal mining.
- 2 Energy efficiency of products
- 3 Energy efficiency in the buildings sector
- 4 Smart power grids, including the integration of renewable energy sources;



ENERGY

- 5 Cost-effective uptake of renewable energy sources as well as research and innovation on new, clean and renewable energy technologies.
- 6 Energy safety, in particular nuclear safety and off-shore drilling safety.
- 7 Fusion energy as a future sustainable energy source.



PEOPLE-PEOPLE TIES

- 1 A strong partnership is built on strong relations between the people, which no official relationship can replace
- 2 The India-EU Forum has emerged as an important Track II forum for discussion between policy analysts on both sides.
- 3 It is led by the European Union Institute for Security Studies and the Indian Council of World Affairs and includes participation from academics and think-tanks.
- 4 Both signed Horizontal Agreement on Civil Aviation in 2018 to boost bilateral travel and tourism.



ICM
INDIA CENTRE
FOR MIGRATION

PEOPLE-PEOPLE TIES

5 Both sides also inked the **Common Agenda on Migration and Mobility (CAMM)** in 2016 as a framework for cooperation on migration.

6 India and the EU organize **Festivals of culture** (e.g. Europalia-India festival), exchanges on heritage such as yoga & Ayurveda etc.

7 Higher education and exchanges of university students is promoted through Erasmus Mundus, an international student and researcher mobility program.

8 Between 2004 and 2010, more than 2500 Indian students have been awarded scholarships for studies in Europe.



CHALLENGES IN THE RELATIONSHIP

- 1 Difference between India and EU lie in the domain of drug patents, tariffs, second-hand cars, agriculture and services.
- 2 Foreign investors feel India needs credible investment protection.
- 3 EU feels India is less flexible in three areas in which EU needs more market access viz. dairy, automobile and wine.
- 4 The European Union said it has dragged India into WTO's dispute settlement mechanism over imposition of import duties on certain ICT products, including mobiles and components, base stations and integrated circuits, alleging breach of global trade norms.



CHALLENGES IN THE RELATIONSHIP

5 The health industry in UK is facing a lot of dissent, especially from the UK based Indian doctor. These doctors and healthcare professionals feel discriminated as the health surcharge that is imposed on professional from outside EU is doubled.

6 This unfair practice is aggravating their existing problem relating to regulation and immigration. It is feared that UK may eventually lose out on quality healthcare professionals from non-EU countries.

Not On Same Page

Panel sought to rule on India's decision to levy customs duty on ICT goods

India levies duty on mobile phones, cameras, electronic integrated circuits



DUTIES VIOLATE INDIA'S WTO COMMITMENT: EU

Goods did not exist in 1996, not part of IT Agreement: India

CHALLENGES IN THE RELATIONSHIP

- 7 EU-India BTIA is being negotiated since 2007 and both sides have major differences on crucial issues.
 1. Concerns of EU-significant duty cuts in automobiles, tax reduction on wines, spirits etc, a strong intellectual property regime, relaxation in India's data localisation norms, protection to all its items with Geographical Indication etc.
 2. Concerns of India- 'Data secure' status (important for India's IT sector); Ease norms on temporary movement of skilled workers, relaxation of Sanitary and Phytosanitary (SPS) and Technical Barriers to Trade (TBT) norms etc.
- 8 There is a trade imbalance in the relationship as India accounts for only 1.9% of EU total trade in goods in 2019 (China at 13.8%).
- 9 The European Parliament was critical of both the Indian government's decision to scrap Jammu and Kashmir's special status in 2019 and the Citizenship (Amendment) Act.



CHALLENGES IN THE RELATIONSHIP

■ Notwithstanding the above-mentioned criticisms, India has cooperated with the EU on various fronts

1 Erasmus program, ever since its foundation, has provided close to 5,800 scholarships to Indian nationals. Majority of these scholarships are awarded to students from Karnataka.

2 India is thus, the largest recipient of the funding. Moreover, with the upgradation of Erasmus to Erasmus+, around 200 Indian universities have been benefitted from the funding.

3 Countries like Netherlands are investing heavily in the Indian states.

4 It has emerged as the third largest FDI investor in India in 2017-18.

5 Netherlands has partnered with Telangana to work in the areas of technology innovation, start-ups and academics.



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FOR VIEWING THIS VIDEO

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For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

0866 244 44 72

98499 42299

94415 27588